



Chapter 6: Scale Economics, Imperfect Competition, and Trade

International Economics, 17th Edition, Pugel

Comparative Advantage

According to comparative advantage:

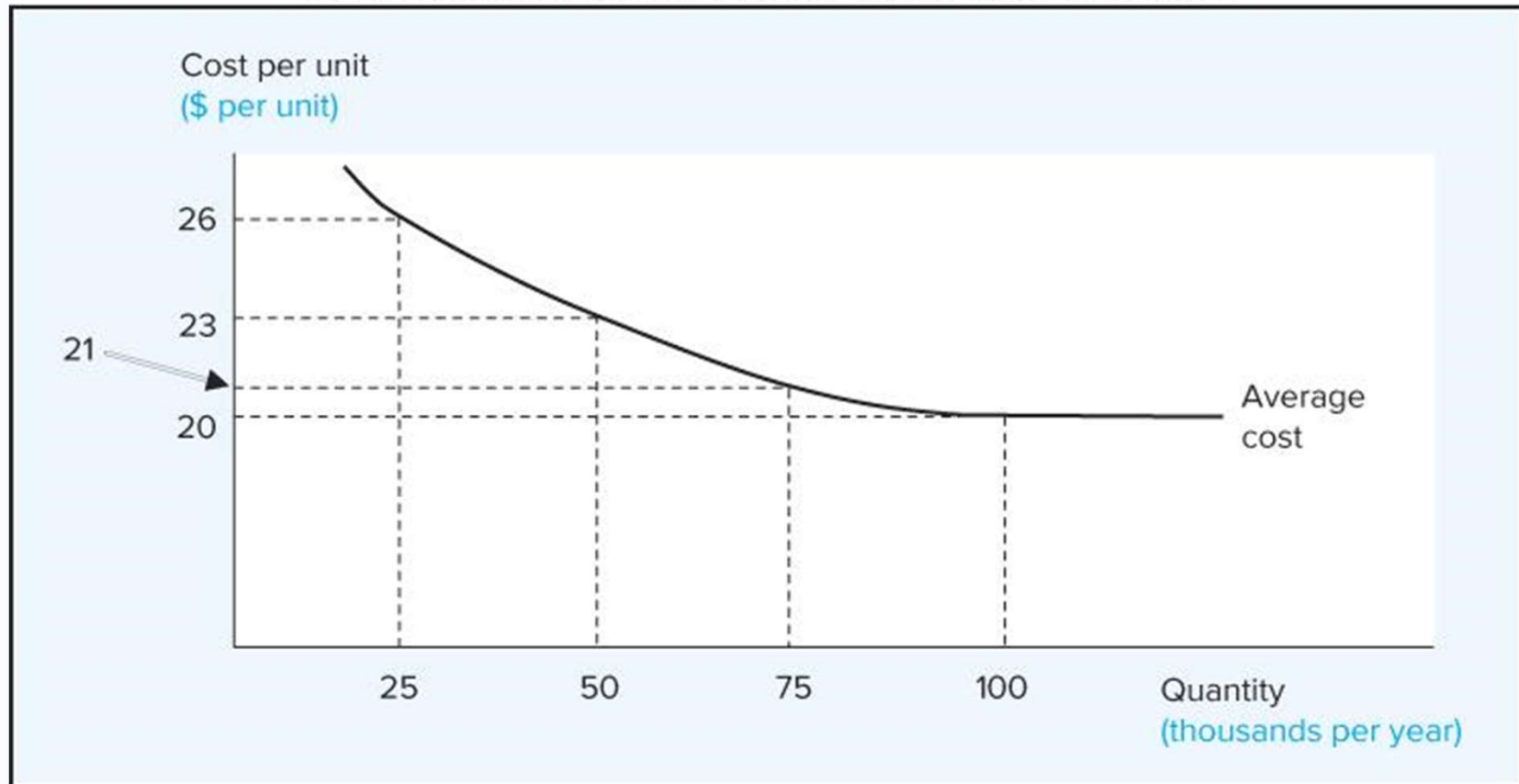
- Countries that are similar should trade little with each other.

Each country should

- export some products (if the country has a relative cost advantage), and
- import other products (if the country has a relative cost disadvantage).

Scale Economies

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Types of Scale Economies

1) Internal economies of scale

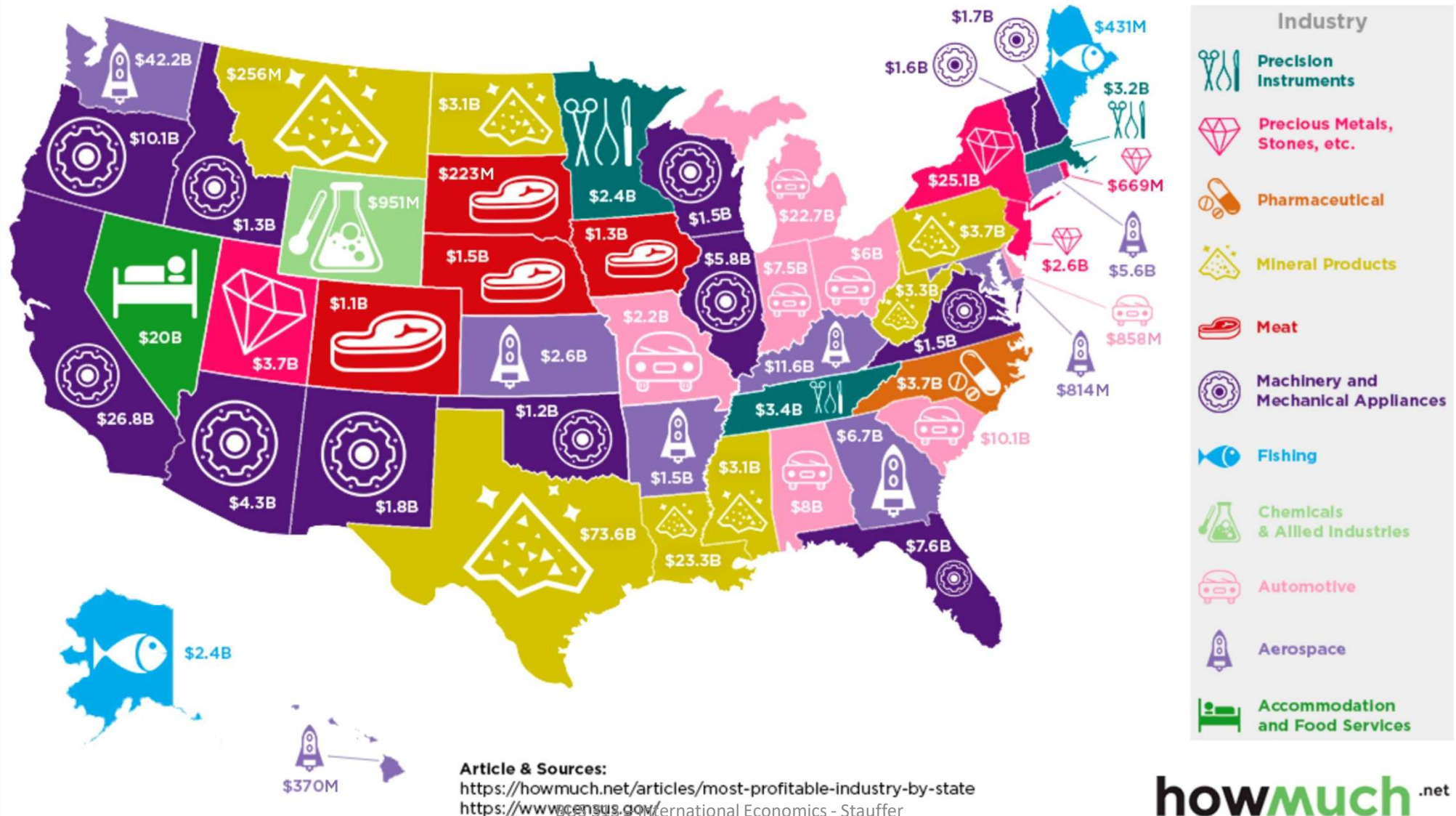
the size of the individual firm matters, i.e. larger firms have a cost advantage over smaller firms.

2) External scale economies

based on the size of an entire industry within a specific geographic area.

External Scale Economies

Value of the industry's top-selling products (\$ billion)



External Scale Economies: Silicon Valley



Inter- vs. Intra-industry trade

Inter-industry trade:

- A country exports products in some industries and imports products in other industries.

Intra-industry trade (IIT):

- Two-way trade in which a country both exports and imports the same or very similar products (products in the same industry).

Measuring Intra-Industry Trade

$$(IIT) = (X + M) - |X - M|$$

where X is the value of exports and M is the value of imports of the product.

How Important is Intra-Industry Trade?

$$\text{IIT share} = \frac{IIT}{\text{Total trade}} = \frac{(X + M) - |X - M|}{(X + M)} = 1 - \frac{|X - M|}{(X + M)}$$

Monopolistic Competition and Trade

- A variant of a product that consumers view as unique.
- Each firm has some degree of monopoly power based on its established production of its unique variety.
- There is ease of entry and exit of firms in the long run.

IIT Example



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IIT Example

	US Exports (X)	US Imports (M)	Total Trade	Net Trade	IIT	IIT Share
Autos	53,465	172,638	226,103	-119,173	106,930	47.3%

$$\text{Total} = X + M$$

$$53,465 + 172,638 = 226,103$$

$$\text{Net} = X - M$$

$$53,465 - 172,638 = -119,173$$

$$\text{IIT} = X + M - |X - M|$$

$$226,103 - 119,173 = 106,930$$

$$\text{IIT Share} = 1 - |X - M| / X + M$$

$$1 - (119,173 / 226,103) = 1 - 0.527 = 47.3\%$$

Global Oligopoly

A small number of firms dominate total production of a product.



Prisoner's dilemma

Prisoner 2			
Prisoner 1	"Rat"	Remain Silent	
	"Rat"	3, 3	0, 5
	Remain Silent	5, 0	1, 1

Amazon: Economies of Scale

